AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B291

Financial Accounting

Final Examination

2024-2025 / Fall Semester

16-Jan-2025

Version B

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Number of Exam Pages: 5 (including this cover sheet)	Time Allowed: 3 Hours

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except for graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1: (40 marks)

a. An accountant found the following errors in the books of Mr. Khalid.

i. An invoice to Mr. Ali for $5,200 has been entered into the receivables ledger account of Ms. Aliya.

ii. An invoice for $3,000 plus ten percent VAT to Mr. Adnan had been omitted from the sales day book and the nominal ledger accounts.

iii. Bank changes of $200 had not been entered in any books of account.

iv. Payment of $3,000 to suppliers had been correctly entered the cash book and payable ledger account but incorrectly posted to the payables control account as $3,300.

v. A payment for business rates of $1,600 had been debited in the cash book and credited to the business rates account.

Required: You are required to identify the type of errors mentioned above.

(10 marks)

b. Fatima owns a small business selling office furniture to other businesses. On 31st December 2022 she extracted the following trial balance.

Trial Balance

Account Name	Debit $	Credit $
Sales Revenue		361,000
Sales returns	6,400	
Opening inventory	23,500	
Purchases	180,720	
Purchase returns		6,400
Freehold property	84,000	
New motor vehicle (trade-in-deducted)	25,000	
Equipment at cost	40,000	
Accumulated depreciation on equipment		6,000
Old Motor vehicle at cost	18,000	
Accumulated depreciation on old motor vehicle		7,200
Salaries and Wages	12,000	
Insurance	3,200	
Motor expenses	5,000	
Advertising expenses	3,000	
Loan interest	4,000	
Receivables	41,000	
Allowance for receivables		3,000
Payables		30,500
Cash at bank	159,780	
Bank loan		34,000
Capital		157,500

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Total	**605,600**	**605,600**

The following information is relevant.

1. Closing inventory was valued at $34,900.
2. Equipment is depreciated by 25% on reducing balance basis.
3. Motor vehicles are depreciated by 20% on straight-line basis.
4. On 31st May 2022 Fatima traded in her motor vehicle for a new one. The new motor vehicle cost $42,000 and the trade-in value of the old motor vehicle was $17,000. At the time Fatima acquired the new motor vehicle, She recorded a cash payment of & $25,000 against a new motor vehicle account. No other entries have yet been made regarding this transaction.
5. Accrued wages at the end of 2022 amount to $3,000.
6. On 1 August 2022 Fatima paid $1200 for insurance which is valid until 31 July 2023.
7. Irrecoverable receivables of $1400 need to be written off.
8. Fatima decides to increase the allowance for receivable by $1,600.

Required:

a. Prepare Fatima's income statement for the year ending 31st December 2022.

b. Prepare Fatima's balance sheet as at 31st December 2022.

(15+15 = 30 Marks)

Question 2: (30 marks)

a. Corporate governance broadly refers to the mechanisms, processes, and relations by which corporations are controlled and directed. Explain the primary objectives of implementing corporate governance mechanisms. Give examples.

(15 Marks)

b. The income statement and a partial balance sheet for orange company are presented below.

Orange Company Income statement For the year Ended December 31, 2022		
Sales		$300,000
Cost of goods sold		82,000
Gross Profit		**$218,000**
Operating expenses:		
Salaries	$30,000	
Depreciation expense	15,000	
Miscellaneous	19,500	64,500
Net Income		**$153,500**

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Orange Company Balance Sheet As at 31st December 2022		
	2022	2021
Cash	5,000$	2,000$
Account receivable	25,000	17,500
Inventories	24,000	21,000
Prepaid expenses	1,900	2,700
Accounts Payable	8,500	15,000
Salaries Payable	5,300	2,500

Required: Prepare the operating activities section of the statement of cash flows using the indirect method. **(15 Marks)**

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Question 3 (30 marks)

a. The balance sheet of Beta Plc. Shows the following information in its assets and liability and equity section:

Assets	$
Non-current assets	40,000
Current assets	20,000
Total Assets	***60,000***
Liabilities and Equity	
Total Liabilities	10,000
Equity:	
Share capital : ordinary shares of $ 0.50 each	35,000
Reserves : Share premium	10,000
Reserves : Retained earnings	5,000
Total Liabilities and Equity	***60,000***

Beta Plc. Needs to raise more cash and decided to make 1 for 7 rights issue, fully paid in cash at a price $0.80 per share.

Required:

Show by using detailed workings the effect on the balance sheet accounts of the rights issue. **(15 Marks)**

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b. Innovators club plc. is a manufacturer of computer accessories. The following are selected items appearing in the income statement and balance sheet for the year ended December 31st, 2022.

Income Statement	$
Net Sales	225,000
Less: Cost of Goods Sold	35,000
Gross Profit	**190,000**
Selling and general expenses	15,000
Net Operating profit	**175,000**
Interest expenses	25,000
Net Profit	**150,000**

Balance Sheet	$
Cash and short term investments	15,100
Receivables	61,500
Inventories	20,650
Total current liabilities	30,000
Total liabilities	65,500
Total shareholder's Equity	124,500

Required:

Using the information above, compute the Company's ratio below and comment on each:

a. Acid-test ratio
b. Current ratio
c. Net Profit Margin
c. Inventory Turnover
d. Interest Cover ratio

(15 Marks)

End of Questions

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